The key point is that when property rights are clear, both sides are brought to the table to negotiate, and the result is superior to any bureaucratic intervention.

Before Ronald Coase, economists viewed negative externalities as a story with a perpetrator and a victim. It is easy to slip into the assumption that the fishermen are the ones who have to be protected. However, the Coasean analysis yields an important result. Whether the fishermen have property rights, which limit the steel mill's ability to pollute, or the steel mill has property rights, which limit the other side's ability to fish, is not important. As long as property rights are clear, both sides will be brought to the table to negotiate. Coase showed us that both parties have a shared interest in finding the right solution, and minimizing total harm. The answer lies in their negotiation, and when this is feasible, we do not require state coercion.

Example 16: Windmills that emit noise

Consider a windmill company which places noise-making wind turbines near a residential community. The command-and-control approach is to view the noise as a negative externality. We would build a government mechanism which caps the noise that windmills can make. We would set up a bureaucratic procedure to identify violations and punish them.

The Coasean approach consists of bringing the residents and the company into a negotiation. The company should pay something to the residents in return for the discomfort. If the residents are intransigent, the windmill company will just go somewhere else, and the residents will get no noise and no money. The negotiation will result in an agreement that the company will pay each individual a certain sum of money per year. Such a private negotiation is the best of all worlds.

In this approach, many private adaptations will simultaneously take place. As an example, people can weigh the choice of spending money on double-wall glass windows that will diminish the noise. In other words, the recipient can also invest in pollution control. These are optimal responses,